

DDCP Foundation, Inc.

A Wyoming Nonprofit Corporation

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SECOND SUPPLEMENTARY SUBMISSION

Office of the Comptroller of the Currency

Notice of Proposed Rulemaking: Payment Stablecoin Issuers

Docket ID OCC–2025–0372 · RIN 1557–AF41

June 12, 2026

I. Purpose

DDCP Foundation, Inc. (“DDCP Foundation”) submits this supplementary comment on Docket OCC-2025-0372, supplementing its comment filed May 1, 2026 (Comment ID OCC-2025-0372-0257, the “May 1 Comment”) and its supplementary submission filed May 20, 2026 (Comment ID OCC-2025-0372-0349, the “May 20 Supplementary Comment”).

This submission refines the May 20 Supplementary Comment’s argument on the relationship between **DDUSD, LLC**’s co-signature architecture and the reasonable particularity standard of GENIUS Act section 2(16)(B). It does not amend any prior position; it makes an existing argument more precise and grounds it in factual developments that post-date the May filing window.

The refinement has two components. First, two episodes in the public record — one from March 2026 and one from May 2026, both involving centralized administrative key executions under properly authorized judicial process — demonstrate that the structural execution gap inherent in centralized administrative key designs is not theoretical: the gap has produced documented harm in circumstances where the directing court order was specifically scoped and judicially authorized. Second, this submission develops the affirmative proposition that co-signature execution operating on identified persons through Financial Intermediary KYC/KYB records inherently satisfies the section 2(16)(B) precision requirement as a structural property of DDUSD’s design. This proposition was implicit in the May 20 Supplementary Comment’s architectural argument but was not stated as a positive legal claim on the OCC record. The same argument, fully developed, now appears in the parallel FinCEN/OFAC record (Comment ID FINCEN-2026-0100-0076, filed June 9, 2026, Section III.E) and in the parallel FDIC comment on RIN 3064-AG19 (filed June 9, 2026). This submission places it on the OCC primary record.

II. Reasonable Particularity Standard and Execution Architecture

A. The Structural Execution Gap

The GENIUS Act section 2(16)(B) reasonable particularity standard defines the legal specificity required of any lawful order. That standard governs what a court must direct; it does not, and structurally cannot, govern the execution precision of the mechanism an issuer deploys to carry the order out. The obligation to comply with that order, however, does require execution that does not exceed its scope. A mechanism whose execution structurally reaches beyond the order's legal precision — affecting parties the order did not name and assets the order did not specify — does not comply with the order; it implements an action that exceeds what the order authorized. A centralized administrative key operates at the address layer with no visibility into the internal accounting of shared pools, bridging contracts, or other infrastructure holding multiple parties' assets. The gap between the legal particularity of an order and the execution precision of a centralized key is architectural and cannot be resolved by better-drafted orders; the execution mechanism cannot match that specificity at the application layer. Protocols that hold freezable assets in pooled structures inherit this blast radius from the upstream issuer's centralized key, regardless of their own compliance design.

This gap is directly relevant to the OCC's rulemaking under section 4(a)(6)(B). Technological capability to comply with lawful orders is not satisfied by a mechanism that cannot limit its own effects to the scope of the directing order. A centralized administrative key that operates at the address layer cannot inherently match the legal particularity that section 2(16)(B) requires.

B. Two Documented Episodes

Two episodes in the public record demonstrate that this gap has produced documented harm under properly authorized judicial process.

On March 23, 2026, Circle froze USDC balances in sixteen active business hot wallets — crypto exchanges, online casinos, and foreign currency exchange platforms — pursuant to a sealed civil temporary restraining order in the Southern District of New York. The May 20 Supplementary Comment (OCC-2025-0372-0349) referenced this episode as factual background; this submission adds the confirmed case reference and places it within the structural execution gap analysis. The sixteen addresses had no apparent connection to each other or to the subject of the underlying litigation. The order was judicially authorized; the execution was not limited to its target.

On May 29, 2026, a temporary restraining order in *Newton AC/DC Fund, L.P., et al. v. Ermilov et al.*, No. 5:26-cv-05055-PCP (N.D. Cal. filed May 28, 2026) (Judge P. Casey Pitts), directed Circle to blacklist a specific wallet that had deposited funds into Zama's cUSDC smart contract pool. Because Circle's blacklist function operates at the address layer with no visibility into the pool's internal accounting, executing the order against the pool address froze the entire pool — locking every depositor regardless of any connection to the underlying dispute. On June 1, 2026, the issuing court determined the freeze was unwarranted and lifted it. The order was specific and properly scoped; the execution mechanism could not match the order's precision.

Both episodes confirm that the structural execution gap described in Section II.A persists even when the directing court order satisfies the reasonable particularity standard on its face. The procedural quality of the order does not determine the execution precision of the key. These are

documented instances of a structural property of centralized administrative key architectures, not isolated operational errors.

C. DDUSD, LLC's Co-Signature Architecture

DDUSD, LLC's co-signature architecture satisfies the reasonable particularity requirement by design. Co-signature authority operates on identified persons through Financial Intermediary KYC/KYB records, not on wallet addresses. When a lawful order is directed at an identified person, DDUSD, LLC executes against that person's access to the DDUSD ecosystem through two mechanisms operating in parallel. At the primary market layer, DDUSD, LLC refuses new issuance and redemption co-signatures for that person. At the Financial Intermediary layer, entities holding custodial relationships with that person apply their own compliance obligations — including blocking transactions, freezing custodial balances, and, for tokens held in custodial relationships, presenting those tokens to DDUSD, LLC for burn, with OIV (outstanding issuance value) reduction and on-chain auditable record. Neither mechanism touches tokens held by any other party. Execution precision matches the legal particularity of the order as a structural property of the architecture, not as a policy choice subject to administrative error or override. The structural execution gap documented in Sections II.A and II.B does not exist in this design: there is no address-layer key whose blast radius can exceed the scope of the order directing its use.

This affirmative proposition is the complement of the argument in the May 20 Supplementary Comment. The May 20 Supplementary established that DDUSD's co-signature architecture does not require a centralized administrative key to satisfy section 4(a)(6)(B). This submission establishes the further point: that co-signature execution, by operating on identified persons rather than wallet addresses, inherently produces execution precision matching legal particularity as a structural feature of its design. The two propositions together establish that DDUSD's architecture not only satisfies section 4(a)(6)(B)'s compliance capability requirement but satisfies it in a manner that the centralized administrative key design architecturally cannot.

III. Conclusion and Confirmation Requested

DDCP Foundation submits this supplementary comment on behalf of DDUSD, LLC (in formation) as prospective federal qualified payment stablecoin issuer. All positions in the May 1 Comment (OCC-2025-0372-0257) and the May 20 Supplementary Comment (OCC-2025-0372-0349) are confirmed without modification.

The prior confirmation requests set out in both prior filings are incorporated by reference. This submission adds one confirmation:

Confirm that co-signature authority operating on identified persons through Financial Intermediary KYC/KYB records, without an address-layer key, inherently satisfies the execution precision aspect of the reasonable particularity standard of GENIUS Act section 2(16)(B) as a structural property of its design — execution cannot produce effects beyond the scope of the directing order because there is no address-layer mechanism capable of doing so — and fulfills the section 4(a)(6)(B) compliance capability obligation consistent with the technological flexibility acknowledged in the preamble.

DDUSD, LLC intends to submit a formal application for federal qualified payment stablecoin issuer status and welcomes the opportunity to engage OCC licensing staff through the pre-application process on the questions raised in this submission and in prior filings on this docket.

Respectfully submitted,

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